Marking Criteria

Year 12 Business Studies Assessment Task – Term 4 2013

Question 1

Suggested Answers & Criteria

a) **Distinguish between a good and a service**

Answers could include:

Goods are physical items that firms sell to customers that are tangible in nature while services tend to be intangible in nature.

Criteria
2 marks: Makes the differences clear between goods and services
1 mark: may simply describe either a good or a service but no/incorrect comparison presented.

b) **Explain how operations is interdependent with one other key business function, using examples.**

Answers could include:

Student selects a key business function and then presents a two directional relationship which

a) Shows how operations relies on this key business function
b) Show how this key business function relies on operations

Operations relies on the marketing function to conduct market research to discern what customers tastes and preferences are and as a result provide valuable information about product design and development to the operations manager. E.g. Apple design team in California provides product design and development instructions to their production facilities operated by Foxconn in China. In return, marketing relies on operations to deliver products and services which are in line with the claims produced by marketing. E.g. Dominoes pizza provides a 30 minute delivery or money back guarantee which essentially means that marketing is relying on operations meeting this claim.

Criteria
1 mark per cause and effect relationship (both directions necessary)
1 mark per example (both directions necessary)

c) Suit Warehouse Ltd is a company that manufactures business clothing for men. They have decided that the key to success is to have the lowest prices in the industry. Explain the impact that adopting a cost-leadership approach would have on Suit Warehouse's operations.

A cost-leadership approach to operations requires the business to be the lowest-cost producer in the market which should allow the firm to maximise profit margins and sales due to being the cheapest in the market. This strategy places considerable pressure on the operations function to produce goods in a cost effective manner. Most cost-leaders attempt to achieve economies of scale in production where they drive down average costs of production by expanding their production volumes and driving down input costs by exercising their bargaining power over suppliers. In attempt to reduce costs, Suit Warehouse would attempt to source their inputs from cheaper overseas suppliers and take advantage of cheaper wages. Potentially their entire operations could move overseas to take advantage of these cost reductions. The operations manager at Suit Warehouse may also employ technology and increased automation in their assembly lines in an attempt to drive down costs further, this would suggest limited customization in their suit production.

Criteria:

4 marks: Student provides an explanation of the concept of cost-leadership and how this concept would have implications for the management of operations of Suit Warehouse. Examples are provided that relate to the Suit Warehouse business.
3 marks: Student provides an explanation of the concept of cost-leadership and how this concept would have implications for the management of operations
2 marks: Student may illustrate some aspect of cost leadership on operations.
1 mark: Student may identify a benefit of the cost leadership approach.

Question 2

Suggested Answers & Criteria

a) **Identify two laws that regulate the operations function of a business. (2 marks)**

Answers could include:

- Environment and protection and Biodiversity Conservation Act 1999
- Work Health and Safety Act 2011
- Competition and Consumer Act 2010
- Fair Work Act 2009
- Dangerous Goods (Road and Rail Transport) Act 2008
- Workers Compensation Act 1987

Criteria

2 marks: Naming of two correct laws regulating the operations function
1 mark: Naming of one correct law regulating the operations function.

b) **Describe, using examples, the difference between legal compliance and ethical responsibility for operations management. (4 marks)**

Answers could include:

Legal compliance involves all businesses complying with Government laws. There are no exemptions from these laws whereas ethical responsibility is where businesses may choose to go above and beyond the law to comply with consumer's ethical standards.

Some businesses show their commitment to ethical behaviour by establishing a code of conduct – just a voluntary set of rules to guide the actions and behaviour of the business.

They are creating a positive image which they hope will attract customers to their products/brands.

This may give a competitive advantage and increase market share and therefore bring increased returns to the business

Examples may include Tapex not only complying with the Environment Protection and Biodiversity Conservation Act but acting above and beyond this by placing recycling bins in rural areas.

Criteria:

4 marks: Clearly establishes characteristics and features of the difference between legal compliance and ethical responsibility for operations management and provides a relevant example.

2-3 marks: Defines legal compliance and ethical responsibility and may or may not provides a relevant example.

1 mark: Defines legal compliance or ethical responsibility or provides a relevant example.

c) **How could government policies affect operations management? (4 marks)**

Answers could include:

Government policies are methods used by the government to influence the economic

and social conditions of an economy.
They impact on the operations process as they have the potential to impose a cost or create a benefit. They are generally outside of management's control.
Policies are often directed at inputs such as electricity and labour. Usually they are directed at increasing efficiencies and reducing cost. Labour policies can be designed to increase use of labour as an input or not (depending on Govt in power).
Might also attempt to influence which inputs are used. For ex giving subsidies to solar panel providers or research and development grants into alternate production methods.
Might encourage the production of certain outputs to satisfy other social requirements ex subsidies to car manufacturers to keep associated part manufacturers in operation and certain towns alive eg Elizabeth SA and Holden
Quantity of output – due to impact of policies on Economic growth. Is there increased government spending or reduced government spending? What are the current interest rates? Does this defer spending on equipment upgrades?

Criteria:

4 marks: Clearly details cause and effect of Government policies on Operations with at definition and two impacts of Government policies and Operations management.

2-3 marks: Details cause and effect of Government policies on Operations with reference to one impact on Operations and may include a definition of a Government policy.

1 mark: Defines Govt policy or outlines an impact on Operations management.

d) Discuss the influence of globalisation on the operations function.

Answers could include:

Globalisation refers to the removal of barriers to trade between nations creating a world economy.

- Ability to source foreign inputs at cheaper prices for example: technology, raw materials
- Ability to access foreign labour that is cheaper than labour here via relocation of manufacturing or service centres to other nations.
- Increased access to foreign technology which can be used in the transformation process as a way of increasing efficiency, quality and speed of production.

Increased volumes of production are available as firms take advantage of economies of scale now available through increased market size (global market) due to increased trade opportunities
Increased competition from global firms selling products similar to yours puts pressure on reducing costs to stay competitive or being innovative and increasing product differentiation to stay competitive.
Increased sales to new foreign markets places pressure on operations to be able to customise their products to meet local market tastes and preferences.
Exposure to exchange rate fluctuations when you are sourcing inputs from overseas or selling finished products overseas. Need to be aware of fluctuations in costs and use financial management strategies such as hedging.
Business is exposed to influences from different currencies, global consumers, technology and difference in cultures.

Criteria

4 marks: defines globalisation and provides one advantage and one disadvantage
3 marks: defines globalisation and provides a basic disadvantage and advantage
2 marks: No definition of globalization and just gives one advantage oR disadvantage
1 mark: one advantage or disadvantage only

Question 3

Suggested answers & Criteria
a. Answer: Transformed resources are those inputs that are changed or converted in the operations process. They include: 1. materials (raw materials and intermediate goods) 2. information (knowledge external or internal KPI's) 3. customers (relationship management) Transforming resources are those that remain in the business and are applied to the inputs to change them and add value. They include: 1. Human resources (most valuable asset skill, knowledge) 2. Facilities – land, buildings, equipment, technology. **Criteria**: 4 marks: Student describes ONE transforming and ONE transformed resource and relates relevant examples of how they are used in "Small Wall Motors" operations process. 2-3 marks: Student identifies ONE transforming resource and/or ONE Transformed resource and/or provides a relevant example of how it is used in "Small Wall Motors" operations process. 1 mark: Student identifies ONE transforming or transformed resource. **3B) Answer:** Sequencing and scheduling tools are used to identify all steps in the operations process and organize them into the most efficient order to complete. **Gantt chart** records number of tasks involved and estimates time needed to complete each task. **CPA** flow diagram shows the interrelationship of tasks and the critical path is the longest path taken to complete the project in the shortest period of time. Examples that "Small Wall Motors" could use are either GANTT charts or critical path analysis. This would help "Small Wall Motors" to improve its ability to complete its operations process more efficiently enabling them to ensure on time delivery of their new vehicle. Eg: Organisation/location/delivery of raw materials in correct order necessary for production, assembly line in order of need, use of JIT inventory control measures. **Criteria**: 3-4 marks: Defines sequencing and scheduling and explains ways that GANTT charts and/or CPA could help improve ability of "Small Wall Motors " to deliver their new vehicle on time. 1-2 marks: Sketches in general terms sequencing and/or scheduling and may explain ways that GANTT charts and/or CPA could help improve ability of "Small Wall Motors" to deliver their new vehicle on time. **3c.** Warranty is an assurance that a business stands by the quality claims of the products they make. The product should have comparable quality/price, suitable for

purpose, match advertised product description and be free from defects. If doesn't meet these standards then the manufacturer will need to replace the product or repair faulty product. "Small Wall Motors" idea to increase the warranty on their new car to 10 years has huge implications for increased costs for manufacturer and the need for stringent quality standard controls, but may result in a competitive advantage as they are offering better customer service for consumer and promotion of a longer term relationship.

Criteria:

3-4 marks: Defines warranty and explains implications of 10 year warranty on new vehicle for "Small Wall Motors" through examples such as increased costs, importance of quality control, competitive advantage and improved customer service/satisfaction.

2 marks: Sketches in general terms what a warranty is and may have limited explanation of the implications of the 10 year warranty on the new vehicle for "Small Wall Motors". May use specific examples.

1 mark: Defines warranty may relate to stimulus.